

growth till then.

Another challenge is the access to energy—given the strong relationship between energy demand and economic growth, most major economies control their sources of dense energy: oil for the US and Russia; coal for the UK and China. Germany relied on coal and then Russian gas and oil; Japan and France depend on nuclear energy. That India's energy mix must also be different is both an opportunity (it can be built anew without discarding much) and a challenge (financing it).

One unique challenge for India is that it must hold course through a tricky period of a rise in inequality. History points to economies inevitably seeing an increase in income inequality as they transition the workforce away from agriculture. During this period there is a surplus of labour and a shortage of capital, which forces down the labour share of income. When other economies went through this increase in inequality, they did not have universal franchise—the 'Age of Capital' in Europe preceded everyone getting a right to vote. Japan gave everyone the vote in 1924, and the US even later. Taiwan and Korea were dictatorships when in this phase, and China has a different political structure even today.

This is not an insurmountable challenge. Technological change provides tools to organise labour and capital differently from how the rest of the world did a century or two ago. New layers on the 'India Stack', which essentially means leveraging digital public infrastructure, can democratise access to capital to an extent unthinkable a few decades ago, and even today in most parts of the world.

Further, accelerating demographic transition in developed economies, digitisation and easier cross-border travel also allow India to traverse additional paths for

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The return of great-power conflict will progressively make the world less open for trade and information flow and will end up making geopolitics important

138 |

job creation than the conventional manufacturing-led exports. While the growth of GCCs (global capability centres) that provide services from India is encouraging and should last, there is also a growing opportunity in Indian workers going to developed economies struggling with shrinking workforces and the perils of illegal immigration. Government-to-government collaboration as well as careful market-making can accelerate this.

Even as we focus on growing net exports of goods and services and *Atmanirbharata* (self-reliance), it is important to remember that when the economy moves from a size of \$4 trillion to \$20 trillion, not more than one of the additional \$16 trillion of annual output would come from growing exports or substituting imports. The rest would come from domestic demand. We must learn to manage important drivers of economic cycles

in India like real estate, which is an important part of the formation of capital stock, and one where supply remains woefully short of demand.

Each of these transitions might need policymakers to take more risks—driving at 20 km an hour on a (relatively) smooth road is different from driving at 80 km an hour on a bumpy road. In the former, the potential downside from a wrong turn of the wheel (that is, a policy error) is a minor bump; the same in the latter would mean a growth derailment for several years. But given the ticking clock of demographic transition, some calculated risks may be unavoidable. **BT**

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